
Article

Determinants of Informal Borrowing: Evidence from Households in 11 Rural Villages in Cambodia

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Abstract

Informal borrowing remains an important source of financing for rural Cambodian households, exposing them to exploitative interest rates. This study examines the determinants of informal credit reliance using survey data from 1,183 households in 11 villages. We analyze how financial literacy, measured based on understanding of basic financial and economic concepts, social capital (based on community-based group participation), and household characteristics shape borrowing behavior. Higher financial literacy is significantly correlated with a lower likelihood of relying on informal loans. Finance- or credit-related group membership reduces informal borrowing; other community group membership does not. Household income and residential land ownership reduce reliance on informal borrowing. Household head's age has nonlinear effects. Reliance on informal credit initially declines with age, reflecting greater experience. Increases observed at older ages may be related to changing economic circumstances. Combining financial literacy enhancement, income improvement, and finance-related community networks can promote safe and sustainable financial inclusion in Cambodia.

Keywords: informal credit, financial literacy, social capital, Cambodia.

1. Introduction

The expansion of Cambodia's microfinance sector over the past three decades has contributed to financial inclusion by broadening access to formal financial services. Despite the rapid

growth of microfinance institutions, a substantial share of the population, particularly in rural areas, continues to face constraints in accessing safe, regulated credit. Consequently, informal lending remains a significant feature of household borrowing.

Empirical evidence highlights the prevalence of informal credit in Cambodia. A survey conducted in 2024 covering approximately 2,400 poor and economically vulnerable households nationwide indicated that approximately 26% of households had active loans, of which 53% relied exclusively on informal sources, including friends, relatives, and moneylenders (UNICEF 2025). Such loans are typically unsecured and frequently subject to high interest rates (Samreth et al. 2023). They can increase household exposure to exploitative lending practices and the risk of persistent debt accumulation.

In this context, understanding the drivers of informal borrowing is important for enhancing sustainable financial inclusion and inclusive development in Cambodia, where approximately 60 % of the country's 17 million population resides in rural areas (National Institute of Statistics 2023). Cambodia continues to promote financial inclusion while strengthening consumer protection, and empirical evidence on the socioeconomic factors shaping informal credit use can offer valuable policy insights.

This study examines the determinants of informal borrowing among rural households in 11 villages in Cambodia. Using household-level survey data collected by the Cambodia Development Resource Institute (CDRI), we analyze the household characteristics associated with exclusive reliance on informal loans. Our results yield several key findings.

First, households with higher financial literacy, defined as the ability to understand and evaluate economic concepts and information (Lusardi and Mitchell 2014), are significantly less likely to rely exclusively on informal credit. Second, social capital, understood as social networks within a community and measured through participation in different types of community groups, exhibits heterogeneous effects. Membership in finance- or credit-related groups is associated with a lower probability of exclusive informal borrowing, whereas participation in economic activity (e.g., farming, fishing, and trade), health and education, political, religious groups, or utensil-sharing groups¹ does not show significant effects. Third, household economic conditions are key determinants of informal borrowing behavior. Households without residential land and those with lower monthly incomes are more likely to rely exclusively on informal loans. Although the estimates are not significant across all model specifications, the interaction term between "IDPoor" status, which is the national targeting system for identifying poor populations, and income indicates that higher income reduces the likelihood of poor households relying on informal borrowing.

Other household characteristics also contribute to borrowing outcomes. Older household heads are less likely to depend exclusively on informal borrowing, whereas the squared age term is positive and significant, indicating a nonlinear effect. Specifically, the estimates suggest that the likelihood of relying solely on informal credit decreases with age up to a threshold of approximately 55 years, after which the probability increases again. In contrast, gender, education, occupation type, and household size do not exert significant effects.

Informal borrowing exposes households to unregulated credit markets, potentially undermining financial stability and increasing economic vulnerability. Although informal lenders may provide short-term relief, especially in times of crisis, long-term dependence on such sources increases the risk of over-indebtedness and exploitation. These findings have important implica-

¹ A utensil-sharing group refers to an informal arrangement in which households share household utensils with relatives or neighbors as part of community-based mutual assistance.

tions for policy interventions aimed at promoting safer and more sustainable access to financing.

The remainder of this paper is organized as follows. Section 2 reviews the relevant literature and outlines the contributions of this study. Section 3 describes the CDRI household survey and presents the characteristics of the surveyed households and household heads, as well as their financial literacy and social capital. Section 4 explains the estimation framework and discusses the empirical results regarding the determinants of informal borrowing. Section 5 concludes the paper.

2. Literature Review

Understanding the determinants of informal borrowing is important for identifying the constraints households face in accessing formal credit and for promoting safe and sustainable financial inclusion. Despite the expansion of formal financial arrangements, numerous studies indicate that informal credit remains a major source of household borrowing in developing economies (e.g., Deléchat et al. 2020; Samreth et al. 2025; UNICEF 2025; Wanzala and Obokoh 2025). Households are more likely to depend on informal credit when they face limited collateral, low living standards, or previous experiences of credit denial by formal lenders (e.g., Mohieldin and Wright 2000; Samreth et al. 2021).

Financial literacy, defined as the ability to understand and evaluate financial and economic concepts, is an important factor in shaping borrowing behavior. Evidence from developed and developing countries shows that individuals with lower financial literacy are more likely to rely on costly or informal credit arrangements (e.g., Lusardi and Scheresberg 2013; Samreth et al. 2025). Cross-country evidence further indicates that financial literacy levels are generally low, particularly in developing countries, with important implications for financial behavior (Xu and Zia 2012). In Cambodia, Samreth et al. (2025) provide evidence that lower financial literacy among microfinance borrowers is associated with a higher likelihood of informal borrowing.

Evidence from previous studies also suggests that social capital, understood as social networks within a community, plays an important role in shaping credit access. In Thailand, Dufhues et al. (2012) show that households with stronger social capital face fewer constraints in accessing formal credit, arguing that social connections can serve as social collateral when formal lenders require guarantors. In China, Yu et al. (2023) find that as a form of social capital, farmers' cooperative memberships increase the likelihood of obtaining formal bank loans. In Cambodia, Samreth et al. (2025) report that households with greater social capital are less likely to rely exclusively on informal loans, suggesting that social networks facilitate access to information and resources that support formal credit access.

This study contributes to the literature in several ways. First, it provides additional evidence on the determinants of informal borrowing using household-level data from rural Cambodia. Second, unlike Samreth et al. (2025), this study explicitly distinguishes between different types of community groups, such as finance-related, economic activity, and other social groups, allowing for a more nuanced assessment of how specific forms of social capital relate to informal borrowing. By jointly examining financial literacy, disaggregated social capital, and household characteristics, this study offers new insights into the mechanisms underlying informal borrowing in Cambodia.

3. Household Survey

3.1 Sample Size and Survey Location

This study uses data from the Moving Out of Poverty Studies Survey, conducted by the CDRI in 2020. The survey covers 1,183 households across 11 rural villages in nine provinces from four geographic regions of Cambodia: the Central Plain, Coastal, Plateau and Mountainous, and Tonle Sap regions.

The surveyed villages include Kampong Preah and Krasang in Battambang, Tuek Khleang in Kandal, Khsach Chi Ros and Dang Kdar in Kampong Thom, Trapeang Prei in Kampong Speu, Kampong Tnaot in Kampot, Kanhchor in Kratie, Prey Nob Muoy in Preah Sihanouk, Ba Baong in Prey Veng, and Bos in Preah Vihear (Figure 1). Battambang and Kampong Thom are in the Tonle Sap region; Kandal and Prey Veng on the Central Plain; Kampong Speu, Kratie, and Preah Vihear in the Plateau and Mountainous region; and Kampot and Preah Sihanouk in the Coastal region.

The survey was implemented before the COVID-19 outbreak in March 2020 and conducted

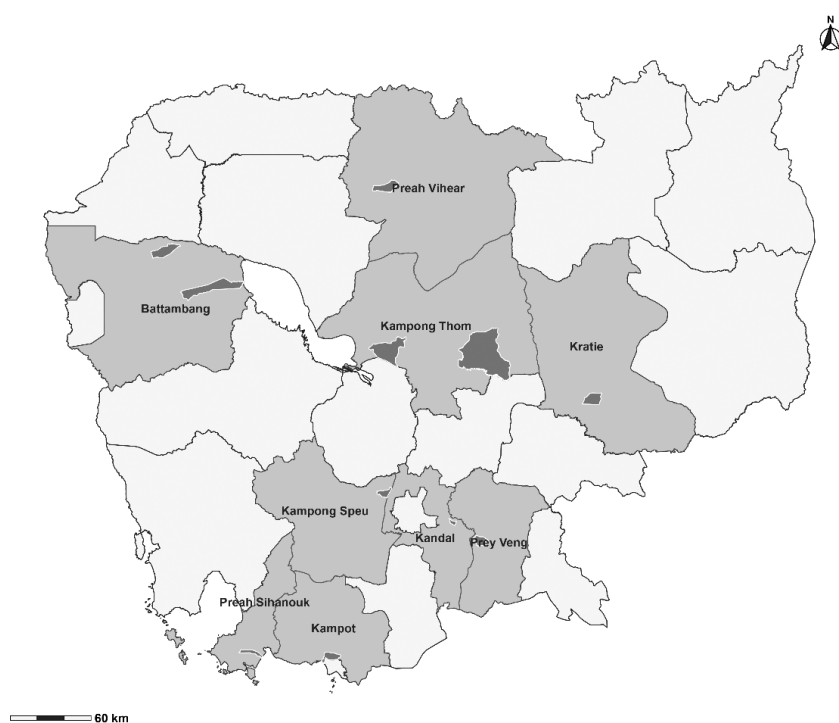


Figure 1 Survey locations.

Note: The figure presents a map of Cambodia. Shaded areas indicate the locations where household interviews were conducted. These include Kampong Preah and Krasang in Battambang, Tuek Khleang in Kandal, Khsach Chi Ros and Dang Kdar in Kampong Thom, Trapeang Prei in Kampong Speu, Kampong Tnaot in Kampot, Kanhchor in Kratie, Prey Nob Muoy in Preah Sihanouk, Ba Baong in Prey Veng, and Bos in Preah Vihear.

Source: Authors' construction based on official geographical boundaries from the Department of Geography, Ministry of Land Management, Urban Planning and Construction, Cambodia.

through in-person interviews with household heads or their spouses by the CDRI's research team.

3.2 Characteristics of Surveyed Households and Household Heads

The survey covers 1,183 households and provides a snapshot of household characteristics in the survey villages. As Table 1 shows, most household heads are male (72.7%), while female-headed households account for 27.3%. The average age of household heads is approximately

Table 1 Characteristics of the surveyed households.

Category	Subcategory	Number	Percentage
Gender of household head	Male	860	72.7%
	Female	323	27.3%
	Total	1,183	100%
Average age of household heads (years)		55.3	
Education level of household head	No schooling	335	28.3%
	Primary level (1st to 6th grade)	642	54.3%
	Lower secondary level (7th to 9th grade)	131	11.1%
	Upper secondary education (10th grade to 12th grade)	51	4.3%
	Higher education	7	0.6%
	Don't know	17	1.4%
	Total	1,183	100%
Households with IDPoor status	Yes	246	20.8%
	No	937	79.2%
	Total	1,183	100%
Household heads with a primary job in the agricultural sector	Yes	172	14.5%
	No	1,011	85.5%
	Total	1,183	100%
Average household size (number of members per household)		4.7	
Household's primary income (in KHR 10,000; KHR 4,000 = USD 1)		255	
Active loans from only informal sources (e.g., relatives, friends, moneylenders)	Yes	81	13.1%
	No	539	86.9%
	Total (household having loans)	620	100%
Residential land ownership	Yes	172	14.5%
	No	1,011	85.5%
	Total	1,183	100%
Agricultural land ownership	Yes	1,154	97.6%
	No	29	2.5%
	Total	1,183	100%

Source: Household survey conducted by CDRI in 2020.

55.3 years, indicating a predominantly middle-aged to older population.

More than half of the household heads (54.3%) have attained only a primary level (first to sixth grade) education, and 28.3% have no formal schooling. Only a small proportion reached the upper secondary level (ninth to twelfth grade) (4.3%) or higher (0.6%), reflecting low overall educational attainment in the rural villages surveyed.

Regarding poverty status, approximately 20.8% of the surveyed households are officially identified as “IDPoor,” which is the national targeting system for identifying poor populations. Furthermore, 14.5% of household heads report their main occupation as being in the agricultural sector, suggesting that most households derive income from non-agricultural sources.

The average household size is 4.7 individuals, and the average monthly household income is approximately 2,550,000 KHR (approximately USD 638, using an exchange rate of KHR 4,000 per USD). This corresponds to an annual per capita income of approximately USD 1,630, which is below Cambodia’s national GNI per capita of USD 2,050 in 2020 (World Bank 2025), indicating that the surveyed rural households have a lower per capita income than the national average.

Among the 620 households with active loans, 13.1% rely exclusively on informal sources such as relatives, friends, or moneylenders.² This finding highlights the continued relevance of informal financing despite the broader availability of formal lending mechanisms from the rapid expansion of microfinance activities in Cambodia.

Regarding asset ownership, only 14.5% of households own residential land, whereas 97.6% own agricultural land. This pattern likely reflects land-use practices in rural communities, where farming remains an important livelihood activity.

3.3 Financial Literacy and Social Capital of Surveyed Households

In this study, financial literacy refers to the ability to understand basic economic concepts relevant to household financial decision-making. Survey respondents are household heads or spouses, and thus, the main financial decision-makers within the household; therefore, their financial knowledge is used as a proxy for household financial literacy.

Figure 2 presents the respondents’ performance on three basic financial knowledge questions on interest rates, inflation, and risk. Panel A shows responses to an interest rate calculation question (*“If you deposited USD 100 at the beginning of a month with an interest rate of 10% per month, how much would you receive in total (principal plus interest) at the end of the month?”*) for which only 29.5% of the respondents provided the correct answer, indicating a limited understanding of interest calculation. In contrast, Panels B and C show substantially higher levels of conceptual understanding, with 87.6% of respondents correctly recognize that *“high inflation means that the cost of living is increasing rapidly,”* and 88.8% correctly identify that *“an investment with a high return is likely to be high risk.”*

Panel D shows the distribution of the composite financial literacy score constructed by summing the number of correct answers across the three questions (range: 0–3). The mean score is 2.06, with a median of 2, suggesting a moderate level of financial knowledge on average, although approximately 16% of the respondents scored 0–1 points.

² In the survey, virtually, institutions that provide formal access to credit for households are microfinance institutions. By the end of 2019, the main components of Cambodia’s financial sector comprised 46 commercial banks, 16 specialized banks, and a large microfinance segment, including 7 deposit-taking microfinance institutions, 75 non-deposit-taking microfinance institutions, and 248 rural credit institutions (NBC 2019).

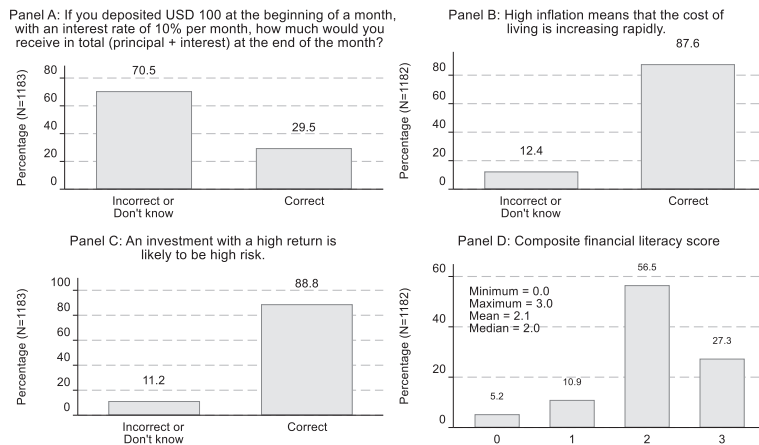


Figure 2 Financial literacy of survey respondents.

Source: Household survey conducted by CDRI in 2020.

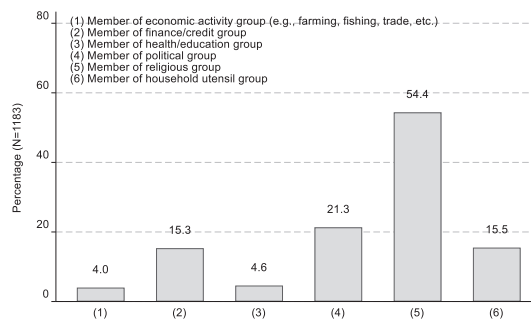


Figure 3 Membership in community groups as indicators of social capital.

Source: Household survey conducted by CDRI in 2020.

Figure 3 reports household participation in different types of community groups, which is used to capture social capital. Participation in religious groups (54.4%) is most common, followed by political groups (21.3%). Membership in finance- or credit-related (15.3%) and household utensil-sharing (15.5%) groups is less prevalent, and participation in health or education (4.6%) and economic activity (4.0%) groups is relatively rare.

4. Determinants of Informal Borrowing

4.1 Estimation Framework

We examine the determinants of exclusive reliance on informal borrowing by estimating a probit model in which the dependent variable equals one if a household relies solely on informal loans and zero otherwise, conditional on having active loans. The estimation equation is as follows:

$$\Pr(r_i = 1 | X_i) = \Phi(X_i \gamma), \quad (1)$$

where r_i is a binary variable equal to 1 if household i borrows solely from informal sources and 0 otherwise, X_i denotes a vector of explanatory variables. γ is the corresponding parameter vector to be estimated, and Φ represents the cumulative distribution function of the standard normal distribution.

The explanatory variables include household head characteristics, including gender, age, years of schooling, and primary occupation, as well as household-level characteristics, such as monthly household income, household size, IDPoor status, and ownership of residential and agricultural land. The selection of these household head and household characteristics mostly follows Samreth et al. (2025). Village dummy variables are included to control for unobserved community-level heterogeneity.

The primary explanatory variables are financial literacy and social capital. Financial literacy is proxied by a composite score derived from respondents' answers to basic financial knowledge questions. Social capital is measured using household participation in community-based groups. Specifically, a set of binary indicators captures membership in (1) economic activity-related, (2) finance or credit, (3) health or education, (4) political, (5) religious, or (6) household utensil-sharing or mutual help groups.

We also include an interaction term between IDPoor status and household income to examine the effect of income on informal borrowing among households with IDPoor status.

4.2 Results and Discussion

Table 2 presents the probit estimation results for the probability of a household relying exclusively on informal loans among those with active loans. Overall, the results reflect key structural features of Cambodia's financial sector, in which formal credit has expanded rapidly but informal borrowing remains prevalent among certain segments of borrowers.

The estimation results in Table 2 indicate that financial literacy is negatively correlated with exclusive reliance on informal borrowing across all the specifications. This finding aligns with earlier evidence that higher financial literacy is correlated with higher financial inclusion and more prudent financial behavior (e.g., Morgan and Trinh 2019; Samreth et al. 2025). In the rapidly growing Cambodian microfinance sector, where borrowers are increasingly exposed to various loan products, limited financial knowledge may discourage engagement with formal lenders and lead households to rely on familiar informal sources, such as borrowing from friends, relatives, and moneylenders. Higher financial literacy can mitigate these barriers and reduce households' dependence on informal financing.

The effects of social capital vary according to group membership type. Membership in finance- or credit-related groups correlates with a significantly lower likelihood of relying exclusively on informal loans. This finding indicates the importance of financially oriented social networks that can facilitate access to information about formal financial services and enhance borrowers' ability to interact with formal financial institutions (i.e., microfinance institutions). In contrast, membership in other types of community groups, such as economic activity, health or education, political, religious, and household utensil-sharing or mutual-help groups, does not exhibit a significant correlation with informal borrowing. This suggests that not all forms of social capital are equally relevant to financial decision-making, with social networks directly related to financial activities playing a more important role.

Household income is negatively correlated with exclusive informal borrowing, indicating that higher-income households are less dependent on informal credit sources. Although IDPoor status alone is not robustly significant, the interaction between income and IDPoor status is negative and significant in several specifications. This implies that income improvements reduce reliance on informal borrowing among poor households. Thus, although IDPoor households may face higher transaction costs and tighter screening in formal credit markets, income improvements can relax liquidity constraints and improve access to formal credit. These results are con-

Table 2 Probit estimation results.

(dependent variable: households having only informal loans = 1, others = 0)

Independent variables	(1)	(2)	(3)	(4)	(5)	(6)
Financial literacy score	-0.252** (0.111)	-0.226** (0.111)	-0.259** (0.112)	-0.266** (0.116)	-0.254** (0.111)	-0.252** (0.111)
Member of economic activity group (e.g., farming, fishing, and trade)	-0.221 (0.482)					
Member of finance/credit group		-0.639*** (0.215)				
Member of health/education group			0.246 (0.524)			
Member of political group				0.269 (0.310)		
Member of religious group					-0.383 (0.426)	
Member of household utensil group						-0.407 (0.477)
ln (household income per month)	-0.171* (0.090)	-0.173* (0.094)	-0.173* (0.090)	-0.175* (0.094)	-0.175* (0.090)	-0.172* (0.090)
IDPoor status (yes = 1, no = 0)	0.986 (0.627)	0.987 (0.649)	1.049 (0.642)	1.054* (0.630)	1.012 (0.639)	0.959 (0.626)
IDPoor status × ln (household income per month)	-0.224 (0.138)	-0.208 (0.142)	-0.239* (0.142)	-0.242* (0.138)	-0.229 (0.140)	-0.219 (0.138)
Household head's gender (female = 1, male = 0)	-0.286 (0.222)	-0.249 (0.223)	-0.290 (0.222)	-0.290 (0.224)	-0.271 (0.221)	-0.261 (0.216)
Household head's age	-0.113** (0.046)	-0.110** (0.046)	-0.113** (0.046)	-0.117** (0.046)	-0.109** (0.045)	-0.109** (0.045)
Household head's age ²	0.001** (0.000)	0.001** (0.000)	0.001** (0.000)	0.001** (0.000)	0.001** (0.000)	0.001** (0.000)
Household head's education (years)	-0.002 (0.032)	0.001 (0.032)	-0.002 (0.032)	-0.003 (0.032)	-0.003 (0.032)	-0.001 (0.032)
Number of household members	0.064 (0.043)	0.062 (0.044)	0.065 (0.043)	0.069 (0.043)	0.064 (0.043)	0.061 (0.043)
Household head's occupation (agri- culture)	0.034 (0.262)	0.037 (0.263)	0.027 (0.257)	0.047 (0.255)	0.032 (0.260)	0.022 (0.262)
Residential land (yes = 1, no = 0)	-1.832*** (0.630)	-2.001*** (0.680)	-1.806*** (0.651)	-1.794*** (0.596)	-1.894*** (0.621)	-1.815*** (0.616)
Agricultural land (yes = 1, no = 0)	-0.227 (0.226)	-0.175 (0.231)	-0.226 (0.227)	-0.256 (0.228)	-0.218 (0.226)	-0.208 (0.224)
Constant	5.026*** (1.541)	5.068*** (1.576)	4.997*** (1.555)	5.102*** (1.554)	5.031*** (1.529)	4.910*** (1.532)
Village dummies	Yes	Yes	Yes	Yes	Yes	Yes
Log pseudolikelihood	-134.488	-132.077	-134.442	-134.100	-134.060	-134.137
Pseudo-R ²	0.362	0.373	0.362	0.364	0.364	0.363
Observations	558	558	558	558	558	558

Standard errors are in parentheses. Asterisks “***”, “**” and “*” indicate the statistical significance at 1%, 5% and 10% significance levels, respectively.

sistent with previous findings that low income is linked to financial exclusion and informal borrowing in Cambodia (e.g., Samreth et al. 2021, 2025).³

The estimation results for the household head's age and squared age indicate a nonlinear association with exclusive reliance on informal loans, with the probability declining with age until the mid-50s and increasing thereafter.⁴ This pattern suggests that the age-related experience of household heads, who are typically the primary decision-makers within households, is associated with lower reliance on informal credit at earlier stages, whereas this relationship appears to reverse at older ages. Residential land ownership is significantly and negatively associated with informal borrowing, indicating the important role of collateralizable assets in accessing formal credit. However, agricultural land ownership does not show a significant correlation, possibly reflecting its limited acceptance as collateral in formal lending markets. Further research is required to better understand these mechanisms.

This study has several limitations. First, the analysis identified correlations rather than causal relationships. Reverse causality cannot be ruled out; for instance, access to formal credit may contribute to improved financial literacy. Second, financial literacy and social capital were measured using self-reported indicators, which may be subject to measurement errors. Third, the CDRI survey covers households in only 11 rural villages in Cambodia, which may limit the generalizability of the findings at the national level.

Nevertheless, the consistency of the key results and their alignment with earlier empirical evidence on Cambodia's microfinance sector (e.g., Morgan and Trinh 2019; Samreth et al. 2021, 2025) support the credibility and significance of our study. Collectively, these findings suggest that policies combining financial literacy enhancement, targeted income support for poor households, and strengthening finance-related community networks may be effective in reducing reliance on informal borrowing in Cambodia.

5. Conclusion

This study analyzes the determinants of exclusive reliance on informal borrowing among rural households in Cambodia using household survey data from 11 villages. Despite the rapid expansion of the microfinance sector, informal credit remains an important source of financing for many households, indicating a persistent barrier to formal financial inclusion.

The results indicate that financial literacy is significantly correlated with a lower likelihood of relying exclusively on informal loans. This highlights the importance of financial knowledge in household borrowing decisions. Social capital also plays a role; however, its effects differ by type. Membership in finance- or credit-related groups reduces reliance on informal borrowing, whereas participation in other community groups does not. Furthermore, household income and ownership of residential land, an important form of collateral, are correlated with lower depend-

³ It is worth noting that, although this study does not analyze COVID-19 impacts due to the use of pre-pandemic data, evidence from the COVID-19 period indicates that IDPoor and rural households were more likely to take out loans as a coping strategy in response to pandemic-related income shocks (UNICEF and WFP 2021). Given their limited access to formal finance, such borrowing among these households likely involved informal sources.

⁴ Based on the probit specification in Equation (1), the partial effect of age on the probability of exclusive reliance on informal borrowing is $\frac{\partial \Pr(r_i = 1)}{\partial Age_i} = \Phi(X_i' \gamma) (\gamma_{Age} + 2\gamma_{Age^2} Age_i)$, where Φ denotes the standard normal density function. Using the estimated coefficients of age (γ_{Age}) and squared age (γ_{Age^2}), the implied minimum occurs at roughly 55–59 years, which is calculated as $Age_i = -\gamma_{Age} / (2\gamma_{Age^2})$. The marginal effect of age is negative below this range and positive above it.

ence on informal credit. The nonlinear effect of the household head's age suggests that borrowing behavior changes with age. Reliance on informal credit tends to decline as household heads gain experience, but may increase again at older ages.

From a policy perspective, these findings suggest that enhancing the availability of formal credit alone is insufficient to reduce reliance on informal borrowing. Strengthening financial literacy, particularly among poor households, can improve borrowers' willingness to use formal financial services. Policies that support income growth and asset accumulation may further ease dependence on informal credit. Moreover, fostering finance-related community networks can enhance access to formal financial services by improving information-sharing and trust. A coordinated policy approach that combines financial education, targeted support for vulnerable households, and network-based interventions may be effective in promoting safe and sustainable financial inclusion in Cambodia.

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